twice your one-sixth share. You four have one share each and she has two shares in the business.

The business does well. At the end of the year the profit is Rs 12 lakhs. Each 'share' in the business makes a profit of Rs 2 lakhs. You decide not to take home the profit, but invest it further in the business.

From the Rs 12-lakh profit, she opens even more kitchens. The profit in year two is Rs 20 lakhs.

One friend is going abroad and wants to sell his 'share'. He had paid Rs 5 lakhs for his share and is now willing to sell. Will he sell for Rs 5 lakhs or more? More, right? Because the company is profitable and has gathered value; the price at which he will sell will be more than Rs 5 lakhs. If you want to buy his share, you will look at what potential this biryani business has to earn profits and then you will make an offer.

You will do the maths and may be willing to pay Rs 8 lakhs. This Rs 3 lakhs he has made is his 'profit'. He had invested Rs 5 lakhs and he is selling his share at Rs 8 lakhs. This is what 'capital appreciation' means in the language of the stock market.

Shares gather value not because of some magic wand, but because there is value ahead for the buyer of the stock. If there is value, why does the guy sell? For many reasons – the stock price may have hit a number the seller targeted, he may need the money, he may not see the value.

Now she wants to expand even more. Her daughter has just finished an MBA and wants to transform this kitchen business into a corporate multi-city chain. They now need Rs 10 crores to do this. How to raise this money? Again, they can go to the bank or they can 'list' this company.

That means they can sell shares of the biryani company to anybody who sees value in it and wants to be a part of its business. Each of the original shares that had a value of Rs 5 lakhs will now be broken down into many 'shares' – each with a 'face value' of Rs 10.

But when they sell their shares to the public, they sell not at the 'face value' or the original value of the share, but at a 'premium'. The profit-making business now will sell at a premium and not at Rs 10 per share. What this premium will be is decided by looking at the future prospects of this business,